This guide was created to help Ontario families access government programs they are entitled to but rarely hear about. Every eligible family deserves to know about the RDSP — and to benefit from it.

The RDSP Primer

A Family's Guide to the Registered Disability Savings Plan

The Registered Disability Savings Plan (RDSP) is arguably the most powerful — yet most underutilized — wealth accumulation tool available to Canadians with disabilities. For families, it is not just an investment account; it is a profound opportunity to secure a loved one's financial future, supported by significant government contributions and tax-deferred growth.

$70,000	**$20,000**	**300%**
Lifetime Grants	Lifetime Bonds	Max Match Rate

1. What Is the RDSP?

The RDSP is a long-term, tax-sheltered savings plan designed to help individuals who are eligible for the Disability Tax Credit (DTC) build long-term financial security. While contributions are not tax-deductible, all investment growth — as well as government grants and bonds — grows tax-free until withdrawn. There is no annual contribution limit, and the lifetime contribution limit is $200,000.

2. The Massive Impact of Government Contributions

The true power of the RDSP lies in the government matching programs. Depending on family net income, the government will contribute significantly to the plan:

Canada Disability Savings Grant (CDSG) — Lifetime limit: $70,000

≤ $111,733 (2026)	300% ($1,500)	200% ($2,000)	**$3,500**
> $111,733 (2026)	100% ($500)	100% ($1,000)	**$1,000**

Canada Disability Savings Bond (CDSB) — Lifetime limit: $20,000

For lower-income families (net income ≤ $35,999 in 2026), the government deposits $1,000 per year into the RDSP with no personal contribution required. A partial bond is available for incomes between $35,999 and $55,867. This is free government money deposited directly into the plan.

Combined Lifetime Maximum: Up to $90,000 in government contributions. Every eligible family in Ontario should be capturing this.

3. Key Features Often Missed

• Carry-Forward Rules (Up to 10 Years)

If you or a loved one have been eligible for the DTC in past years but did not have an RDSP — or could not maximize contributions — you have not lost those grants. Unused grant and bond room carries forward for up to 10 years. You can catch up and receive up to $10,500 in grants and $11,000 in bonds in a single year.

• No Impact on Ontario Provincial Benefits (ODSP)

In Ontario, the RDSP is entirely exempt as an asset, and withdrawals do not count as income when determining eligibility for the Ontario Disability Support Program (ODSP). Your RDSP savings will not trigger a clawback of these vital provincial supports.

• The 10-Year Repayment Rule (AHA) — The Most Critical Rule

Any grants or bonds paid into the RDSP within the 10 years preceding a withdrawal must be repaid to the government at a rate of $3 for every $1 withdrawn (up to the total Assistance Holdback Amount). This makes the RDSP a strictly long-term savings vehicle, not an emergency fund. Proper planning is essential.

• Anyone Can Contribute

With the beneficiary's written consent, family members, friends, and even employers can contribute to the RDSP. This makes it an excellent vehicle for family estate planning and intergenerational wealth transfer.

4. Who Is Eligible?

To open an RDSP, the beneficiary must meet all three criteria:

☐	Disability Tax Credit (DTC) Approved Must be approved for the DTC by the CRA. This is the primary gateway.
☐	Canadian Resident Must be a resident of Canada with a valid Social Insurance Number (SIN).
☐	Under Age 60 Note: Government grants and bonds are only paid until December 31 of the year the beneficiary turns 49. Opening the plan early is critical.

5. How Damon Smith Can Help

Navigating the DTC application, calculating carry-forward limits, selecting appropriate investments, and managing the 10-year repayment rule requires precision and experience. As your independent advisor, I handle the complexities so you can focus on what matters: the peace of mind that comes with knowing your family's future is secure.

Step 1	Confirm DTC Eligibility Ensure the beneficiary has an approved DTC certificate. If not, I can guide you through the application.
Step 2	Open the RDSP & Apply for Grants Set up the account and complete the government forms to trigger CDSG and CDSB payments.
Step 3	Build a Long-Term Strategy Determine optimal contributions, select investments, and plan the withdrawal timeline to protect every dollar of government matching.

Damon Smith
Independent Financial Advisor
647-222-7834
smartmoney@financialdamon.ca
financialdamon.github.io/rdsp-guide

Book a Free RDSP Strategy Session
No obligation. No cost. I will review your eligibility, estimate your grant entitlements, and map out a personalized plan.

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